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Reputation, E-Reputation, and Value-Creation of Mergers and Acquisitions

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Abstract: This article investigates the effects of reputation and e-reputation on the value created by mergers and acquisitions (M&As). Building on the resource-based view, we study the impact of the acquirer's reputation on financial market reactions to M&A announcements. The empirical study is based on a sample of 187 M&As involving French multinationals of the CAC 40 index and an online survey of their reputation. The statistical analysis shows that reputation has a significant, positive influence on M&A value-creation. The findings also highlight the fact that reputation matters regardless of the geographic location of the target companies. Our study makes theory of the role of intangible assets in firm performance more specific by highlighting the positive impact of reputation on the financial evaluation of M&A operations.

Keywords: Reputation; e-reputation; value-creation; mergers and acquisitions

In recent years, multinational companies (MNCs) have been increasingly involved in mergers and acquisitions (M&As), aimed at accelerating their growth (Cooper and Finkelstein 2010; Mayrhofer 2013). These M&As attract significant interest from different stakeholder groups because they provide important signals about the firms' resources, skills, strategic intentions and development patterns. Financial markets attempt to estimate the potential for M&As to create value, using a variety of factors related to the characteristics of acquiring companies, target companies, and operations.

Among the factors that make firms more likely to create value, prior research has frequently pointed to intangible assets, such as knowledge, skills, trustworthiness, or reputation (Fombrun and Shanley 1990; Barney 1991; Hall 1992). Among these assets, reputation seems to be particularly salient in value-creation (Barney 1988) by M&As. However, although both academic research (Hitt, Harrison, and Ireland 2001; Saxton and Dollinger 2004) and professional outlets (Kempner 2005) have recognized the influence of reputation in M&As, empirical evidence on the relationship between reputation and M&As remains scarce. This is rather surprising because several studies have argued that reputation strongly affects interfirm

relationships (Dollinger, Golden, and Saxton 1997; Hitt, Harrison, and Ireland 2001; Gu and Lu 2014; Stern, Dukerich, and Zajac 2014) and, in particular, their performance outcomes (Saxton and Dollinger 2004).

Reputation can be defined as perceptions of a firm's ability to create value relative to competitors (Fombrun and Shanley 1990; Hall 1992; Fombrun 1996; Rindova et al. 2005) or as a firm's ability to deliver value in key dimensions of performance (Rindova and Fombrun 1999; Rindova, Pollock, and Hayward 2006). As such, reputation is a valuable intangible asset that contributes to a firm's competitive advantage (Barney 1991) and organizational performance (Rindova et al. 2005) in two main ways. First, it indicates the extent to which different stakeholders perceive a firm as being capable of providing greater value than its competitors (Petkova et al. 2014; Rindova et al. 2005), and second, it helps to create long-term relationships with stakeholder groups (Boyd, Bergh, and Ketchen 2010).

With the development of information and communication technologies (ICT), and in particular the Internet, firm reputation is increasingly going online. Company websites, social networks, and online media are providing numerous direct contacts between firms and different stakeholder groups. The internetization of reputation has been referred to as "e-reputation" (Chun and Davies 2001; Castellano and Dutot 2013) and this process has changed numerous organizational practices as well as the relationship between firms and their stakeholders. This change can be observed in the case of markets' reactions to M&As because new media channels and social networks convey M&A information, process it, and lead to the building of collective perceptions. Consequently, these perceptions influence M&A value-creation, since financial markets react not only to official M&A information conveyed by the acquirers, target companies, and traditional media, but also to the information exchanged through online channels, such as discussion forums and social networks (like Facebook or Twitter).

In this study we investigate the impact of reputation and e-reputation on M&A value-creation. In line with the resource-based view (RBV), we consider reputation as an important intangible corporate asset that contributes to competitive advantage and performance (Barney 1991; Amit and Schoemaker 1993). Consequently, we hypothesize that reputation significantly impacts M&A value-creation, which we measure by financial market responses to the M&A announcement. In particular, we assume that a good reputation of the acquirer, measured through an online survey, is positively related to the way information about an M&A is transferred and perceived by different stakeholder groups through traditional and online channels, and that these positive perceptions, in turn, lead to more positive evaluation of the M&A decision by financial markets. Conversely, if the acquirer's reputation is poor, we argue that this results in negative perceptions of the M&A and a negative reaction to the M&A announcement by financial markets. The use of financial data as a measure for value-creation allows us to capture perceptions of the M&A, developed jointly through traditional and online channels, and dependent, we assume, on the reputation and e-reputation of the acquiring firm.

The empirical study is based on a unique dataset of 187 M&As announced between 2010 and 2012 by French multinationals included in the CAC 40 index, which we compiled personally. French companies appear to be particularly active in the field of M&As: they make up 4% of the volume and value of M&As worldwide, which positions France as the world's third most active country in terms of M&As, after the United States and the United Kingdom (UNCTAD 2014). Our sample allows us to examine the impact of the reputation of French multinationals on M&A value-creation depending on geographic location (domestic vs. cross-border). We,

thus, contribute to the understanding of the role of intangible assets in the value-creation of M&As, as advocated by the resource-based view.

The article is organized as follows. In the first section, we examine the literature on reputation and e-reputation, and we link this literature to the M&A literature in order to formulate our hypotheses about the relationship between reputation and M&A value-creation. The second section presents the method and data used in our study. In the third section, we present and discuss our findings. We outline major contributions and implications of our research, its limits, and future research directions in the concluding section.

THEORETICAL FRAMEWORK AND HYPOTHESES

The influence of intangible assets on organizational outcomes is an under-researched, poorly understood phenomenon (Pfarrer, Pollock, and Rindova 2010). Yet, many authors argue that intangible assets are key to corporate performance and success (Barney 1991; Hall 1992; Dollinger, Golden, and Saxton 1997). Reputation is such an asset (Barney 1991; Hall 1993; Hitt, Harrison, and Ireland 2001), and its role is therefore of utmost importance in the case of M&A deals. The next section presents literature about reputation and e-reputation.

Reputation and E-reputation

RBV argues that resources that are valuable, rare, and difficult to imitate or substitute, provide firms with sustainable competitive advantage (Barney 1991; Amit and Schoemaker 1993). RBV emphasizes intangible assets as central determinants of a firm's competitive advantage (Hall 1992), the argument being that these assets are developed through socially complex processes and, as such, are difficult for competitors to replicate (Barney 1991). One such asset is reputation, which is considered as the most difficult to create, imitate, or substitute (Dierickx and Cool 1989; Barney 1991). Indeed, according to the RBV (Penrose 1959; Wernerfelt 1984; Barney 1991), as one of the firm's key assets, reputation is a source of rent and profit (Barney 1991) and an indicator of overall effectiveness (Dollinger, Golden, and Saxton 1997).

Reputation is a stable, durable intangible element of a firm's business strategy (Walker 2010). Reputation can have several dimensions. For example, firms can have a reputation for being innovative, for being socially responsible, or for being aggressive competitors (Lester and Sengul 2002). With its reputation, a firm can signal its competitive intentions (Dollinger, Golden, and Saxton 1997).

As a concept, reputation has attracted considerable attention from scholars and practitioners. Although many definitions of reputation have been put forward (e.g., Fombrun 1996; Deephouse and Carter 2005; Rindova et al. 2005; King and Whetten 2008; Almeida Costa and Vasconcelos 2010), two schools of thought have contributed significantly to the definition of this construct (Rindova et al. 2005). On the one hand, scholars that study reputation from an economics perspective define it as observers' expectations or estimations of a particular attribute of an organization, in particular its ability to produce quality products (Shapiro 1983; Milgrom and Roberts 1986). On the other hand, scholars who draw on institutional theory conceptualize reputation as a global impression, a collective perception of a firm (Hall 1992;

Rao 1994; Fombrun 1996). Therefore, while the first perspective considers reputation as an independent attribute of a firm, the second perspective considers it to be a result of social influence and information exchange between various actors (Rindova et al. 2005).

Both perspectives acknowledge that reputation reduces stakeholder uncertainty with regard to a firm (Rao 1998; Benjamin and Podolny 1999). According to the economics perspective, uncertainty is reduced by the high quality of the firm's products and other outputs (Shapiro 1982; 1983). From the institutional perspective, uncertainty is reduced through the information exchange between different actors related to the firm (Rao, Greve, and Davis 2001), which include different stakeholder groups as well as financial intermediaries and the media. The media's impact on stakeholder perceptions stems from their ability to focus public attention on specific issues and entities (Pollock and Rindova 2003). In addition to the traditional media, corporate websites and online social networks have also emerged as powerful platforms for influencing firm reputation (Kempner 2005; Castellano and Dutot 2013).

People construct reputation from information originating from the firms themselves, from the media, or from other sources (Fombrun and Shanley 1990). Fombrun and Shanley (1990) argue that reputation is built from the signals sent to recipients, and they divide these signals into the following categories: market signals (market performance and market risk, and dividend policy); accounting signals (accounting profitability and risk); institutional signals (institutional ownership, social responsibility, media visibility, and firm size); and strategy signals (differentiation and diversification posture). The authors emphasize the social community in which firms are embedded, and the role played by firms, constituents, and the media in influencing the informational context in which reputation is built. Firms do not rely only on objective signals, such as profits and market share, but they also "actively intrude into their environments" (Fombrun and Shanley 1990, 254), through annual reports, corporate websites, social networks, or online communities.

Because reputation reflects collective perceptions of a firm's ability to deliver quality and value (Fombrun 1996; Rindova and Fombrun 1999), it serves as an "interpretative frame through which stakeholders can assess the likelihood that the firm will continue to exhibit value attributes or behaviors in the future" (Pfarrer, Pollock, and Rindova 2010, 1134). It follows that good reputation provides a positive frame for assessment of a firm's ability to deliver value (Pfarrer, Pollock, and Rindova 2010).

Reputation formation can therefore be seen as a signaling process, in which the firms send signals to stakeholders through their strategic choices and in which stakeholders use these signals to develop perceptions about the firms (Basdeo et al. 2006). Even if the stakeholders do not always observe these signals directly, they receive information about them through different channels, such as interpersonal networks, the media (Pollock and Rindova 2003), or online communities and social networks (O'Leary 2011; Castellano and Dutot 2013).

The widespread use of Internet-based communication channels has changed the ways brand equity and, consequently, firm reputation, are constructed. Internet being an interactive communication platform between firms and consumers, traditional measures are increasingly combined with Internet-experience measures to assess brand equity (Christodoulides and de Chernatony 2004) and firm reputation (Castellano and Dutot 2013).

For Chun and Davies, e-reputation is the extension of reputation online or the "element of reputation which is derived from electronic contacts" (2001, 316). Indeed, ICT, and in particular

the Internet, have radically changed the way firms build reputation, since a large flow of information is conveyed to stakeholders through online channels. Indeed, information exchange has become much more direct and more intensive (O'Leary 2011), as firms can reach millions of people through online platforms (Kotha, Rindova, and Rothaermel 2001; Friedman 2005), such as corporate websites and online social networks.

These online channels have been increasingly influential in different aspects of firm operations (Etemad, Wilkinson, and Dana 2010). In particular, the social media are an important source of information for investors about firms' current and future performance because they provide updated content that spreads virally (Luo, Zhang, and Duan 2013). Consequently, firms' market actions, which are an important means of reputation building (Basdeo et al. 2006), are significantly impacted by new online information exchange platforms. This is particularly true for M&As, as important market signals are sent through these operations.

M&As and Value-Creation

Despite their proliferation at a global scale, M&As lead to contrasting results: their risk of failure is estimated at more than 50% (Schoenberg 2006; Calipha, Tarba, and Brock 2010; Vazirani 2012). M&A value-creation is often measured by the reaction of financial markets to the announcement of an operation. This indicator reflects how financial analysts perceive the performance of an M&A and the value they believe it will create for the shareholders of the acquiring company (Dittmar and Thakor 2007; Barger et al. 2014). The most widely used indicator for evaluating the reaction of financial markets to M&A operations is cumulated abnormal returns (CAR), which measures the difference between expected returns and real returns over a set period of time (Sudarsanam 2010). Research has identified several factors that determine the value created by M&As. These concern the characteristics of acquiring companies, target companies, and operations.

Concerning the characteristics of acquiring companies, several authors show that the financial markets are more efficient for large companies. Financial analysts tend to pay more attention to large companies (Brennan, Jegadeesh, and Swaminathan 1993), which makes it easier for investors to anticipate M&A operations (Cai and Vihj 2007). One can thus anticipate that the size of the acquiring company, usually measured by its market capitalization, is negatively related to M&A value-creation. Likewise, companies with high cash flow are more likely to operate M&As, often for opportunistic reasons (Bauguess and Stegemoller 2008). Their operations, thus, tend to generate negative reactions by financial markets (Deng, Kang, and Low 2013). Moreover, if the acquiring company has accumulated significant experience in the field of M&As, managers are more likely to launch M&A operations to satisfy their own interests (Billett and Qian 2008), thus reducing the value created by these operations (Aktas, de Bodt, and Roll 2013).

Concerning the characteristics of target companies, the literature mainly emphasizes the importance of their status and indicates that the value-creation is lower for listed companies than for private companies. In fact, acquiring companies can often benefit from a more attractive price when the firm they are taking over is not listed (Moeller, Schlingemann, and Stulz 2004), since the number of interested investors is usually limited (Chang 1998).

As for the characteristics of operations, research highlights the fact that M&As in pursuit of diversification tend to achieve lower performance than those in pursuit of specialization (Moeller and Schlingemann 2005). They also indicate that M&As paid for in cash tend to create more value than those paid for by equity, since this payment method is more easily accepted by target companies (Gaughan 2013).

Empirical studies on M&A value-creation often introduce other control variables, such as the form of the deal (merger vs. acquisition) and the percentage of capital acquired. Concerning the form of the deal, authors often mention the negative influence of mergers on the value-creation of the acquiring firm (Jensen and Ruback 1983). For example, Ahern, Daminelli, and Fracassi (2015) show that acquisitions create value, whereas the impact of mergers tends to be negative. However, Martynova and Renneboog (2011) find a negative relationship between acquisitions and value-creation. The impact of this control variable is often assessed with other indicators, such as the size and status of the target firm or the type of payment. The percentage of capital acquired determines the degree of power and the commitment of the acquirer. Martynova and Renneboog (2011) observe a significant, positive relationship between this factor and abnormal returns. Conversely, Akhigbe, Martin, and Whyte (2007) conclude that the share of acquisition has no significant impact on the value-creation at the announcement date.

Reputation, M&As, and Value-Creation

Acquisitions are complex, heterogeneous transactions (Lubatkin 1987; Bower 2001). While previous research has studied the relationship between reputation and strategic alliances (Saxton 1997; Gu and Lu 2014; Stern, Dukerich, and Zajac 2014), studies examining such relationships in the context of M&As are still scarce. To our knowledge, Saxton and Dollinger's (2004) is the only study empirically linking reputation and M&As. This research differs from ours, because it examines the reputation of the target company, while we focus on the reputation of the acquiring company. Saxton and Dollinger's (2004) findings show that target firm reputation is positively related to the benefits of acquisitions, and that paying a premium for reputation may be worthwhile because of the benefits that the acquiring company can reap through resource-picking in this way.

According to Kempner (2005, 47), M&A information is conveyed by the employees, the media, the competitors, and the general public, which function as "gossip tributaries either running in multiple directions or converging into a river of speculation whose possible overflow can wreak havoc on both a corporate reputation and merger outcome." In this process, reputation is a vital asset for ensuring the value-creation of the M&A agreement (Kempner 2005). Indeed, reputation generates value for firms by reassuring stakeholders that the company will honor the implicit claims it makes (Devine and Halpern 2001); in the case of M&As, these claims refer to the legitimacy and relevance of the M&A deal and prospects for future gains for the stakeholders. Consequently, it is expected that the acquirer's reputation affects M&A value-creation as this intangible asset reassures stakeholders that the strategic move made through an M&A is in line with the company's ability to respond to expectations and to maintain its credibility in the competitive landscape (Hitt, Harrison, and Ireland 2001).

Despite the lack of evidence on the role of reputation in M&As, reputation has attracted significant interest in other forms of interfirm relationships, such as joint ventures (Dollinger, Golden, and Saxton 1997), strategic alliances (Saxton 1997; Gu and Lu 2014; Stern, Dukerich, and Zajac 2014), joint projects (Almeida Costa and Vasconcelos 2010) and interfirm cooperation in general (Beuve and Saussier 2012). Even though these studies do not report on M&As, they are extremely valuable as they provide important insights for the examination of the role of reputation in interfirm relationships and, consequently, M&As.

Studying interfirm cooperation between French firms, Beuve and Saussier (2012) argue that the partner's reputation enhances cooperation. Indeed, their findings suggest that reputation can act as insurance for trustworthiness and encourage the emergence of cooperative behaviors.

According to Parkhe (1993), reputation can be used as a proxy for knowledge of opportunistic intentions. Reputation is often considered as a condition that favors alliance cooperation (Houston 2003) because it can replace control mechanisms intended to monitor the actions of business partners closely (Kogut 1989). Consequently, reputation can be an important intangible asset (Hall 1992) and a source of competitive advantage (Barney 1991), enabling firms to attract partners (Dollinger, Golden, and Saxton 1997) and build up successful relationships (Saxton 1997). Therefore, firms have an incentive to foster positive reputation (Beuve and Saussier 2012). This finding is in line with Stuart (1998), who suggests that prestigious firms are desirable alliance partners because associating with them enhances the reputation of a less prestigious firm. Saxton (1997) confirms the expected positive relationship between reputation and alliance outcomes. Dollinger, Golden, and Saxton (1997) suggest that the better a firm's reputation, the more likely it will be targeted as a partner for a joint venture or for similar interfirm relationships.

Jensen and Roy (2008) argue that reputation helps simplify partner choice in the formation of partnerships. They define reputation as prestige accorded to companies because of their prior performance (Wilson 1985; Gould 2002). As such, reputation is based on assessments of specific attributes, such as the ability to produce quality products (Rindova et al. 2005), and it thus leads to perceptions of the quality of individual firm attributes (Dollinger, Golden, and Saxton 1997), such as industry expertise and business integrity.

Theorizing that reputation influences a firm's decision-making under conditions of ambiguity, Petkova et al. (2014) suggest that reputation increases a firm's aspirations for future performance, encouraging it to act on ambiguous business opportunities. At the same time, reputation increases mindfulness of the risks of acting on such opportunities, which leads the firm to use extensive risk reduction strategies (Petkova et al. 2014).

Therefore, according to the RBV and the empirical literature, reputation, as an important intangible asset, strongly impacts a firm's results and effectiveness. Consequently, we hypothesize that the reputation of the acquiring company is positively related to M&A value-creation:

Hypothesis 1: The better the reputation of an acquiring firm, the more value is created by the M&A.

Today, a significant proportion of M&As take place in foreign markets (UNCTAD 2014), since companies attempt to seize high growth opportunities (Danbolt and Maciver 2012). However, it is not certain whether good reputation increases value-creation in foreign markets, as we expect to be the case at home. Therefore, it is important to distinguish between the impact of reputation on M&A value-creation in the home country and in foreign markets.

The literature suggests that reputation is the sum of perceptions about a firm's ability to create value (Fombrun and Shanley 1990; Rindova et al. 2005). Through market actions, such as M&As, firms send signals about their resources, capabilities, and aspirations. In the domestic market, when the acquiring company in an M&A operation has a positive reputation, this sends signals about the strengthening of its domestic operations. If the M&A operation is conducted abroad, the acquirer sends signals about its international aspirations and competitive strength, which should lead to value-creation for companies with a good reputation. However, it seems important to note that cross-border M&As increase information asymmetry and agency costs, resulting in significant difficulties for the financial market to evaluate the value-creation of the announced deals (John, Knyazeva, and Knyazeva 2011).

Some authors consider that investors prefer domestic M&As (Kang and Kim 2008). This can be explained by the fact that cross-border M&As provide access to growth opportunities but also involve higher risks (Goerzen, Sapp, and Delios 2010). In such cases, the acquirer's good reputation could play an important role by offsetting the perceived risks of the M&A deals. RBV (Barney 1991) argues that reputation, as an important intangible asset, is a source of competitive advantage as it relies on past performance and the strategic ability to make the right moves, both at home and in foreign markets. Based on these arguments, we formulate the following hypotheses:

Hypothesis 2a: The better the reputation of the acquiring firm, the more value is created by a domestic M&A.

Hypothesis 2b: The better the reputation of the acquiring firm, the more value is created by a cross-border M&A.

DATA AND METHODS

The data used for our empirical study are made up of a sample of 187 M&As announced between 2010 and 2012 and carried out by French multinationals included in the CAC 40 index. The CAC 40 index (*Cotation Assistée en Continu* or Continuous Assisted Quotation) is a French stock market index giving a capitalization-weighted measure of the 40 largest companies among the 100 highest market capitalizations on Euronext Paris (formerly the Paris Bourse). It is one of the main national indices in the pan-European stock exchange group Euronext. We obtained the list of M&As and their characteristics from the SDC database and financial data about the acquiring firms from the DataStream database, published by Thomson Reuters. After removing operations in the banking and insurance industries from the sample, we searched the Factiva database to validate and complete our collection of data on M&A operations. The Factiva database provides access to various secondary sources (Les Echos, Reuters, Dow Jones Newswires, Boursier.com, Business Wire, and Agence France Press). To the data collected, we added information published in other databases and by public institutions (Chalénçon 2014).

Factiva shows that companies included in the CAC 40 index carried out 187 M&As between 2010 and 2012, which indicates that French multinationals are particularly active in launching M&As. Major acquirers operate in industries that are important to the French economy, such as chemicals (e.g., Air Liquide), building materials (e.g., Saint Gobain), rail transport

(e.g., Alstom), electrical equipment (e.g., Legrand, Schneider Electric), medical equipment (e.g., Essilor International), pharmaceuticals (e.g., Sanofi), food (e.g., Danone), luxury (e.g., LVMH Moët Hennessy), communication services (e.g., Publicis Group), construction (e.g., Vinci), retail (e.g., Carrefour), electricity, gas, and oil production (e.g., EDF, GDF Suez, Total), engineering (e.g., Technip), information technologies (e.g., Cap Gemini), real estate (e.g., Unibail-Rodamco), and telecommunications (e.g., Orange). It is also interesting to note that M&A activities by French multinationals mainly concern foreign targets: 78.6% of the operations are cross-border. In our sample, 45.4% of the announced operations concern other mature markets, namely Western Europe and the United States, and 33.2% took place in emerging markets, mainly Brazil, Russia, India, and China (BRIC). The three most valuable deals were the acquisition of the American company Genzyme by Sanofi (€18.51 bn), the acquisition of the French company SFR by Vivendi (€7.95 bn) and the acquisition of the Russian company Novatek by Total (€2.89 bn).

We conducted an event study to examine the reaction of financial markets to M&A announcements. The dependent variable is cumulated abnormal returns (CAR), which measures the difference between expected returns and real returns over a set period. A short window makes it possible for investors to save time when gathering additional information and neutralizes other information leaks related to the same firms (Aktas, de Bodt, and Roll 2009; Chari, Ouimet, and Tesar 2010). Since these multinational firms are closely scrutinized on the Internet, it is more difficult to isolate the influence of one single event. Today, multinational companies are aware of the importance of e-reputation management and may choose to communicate several data simultaneously on the web. In our study, the period covers the day before and three days after the announcement of the M&A, since financial markets react particularly strongly during this period.

The independent variable is the acquiring firm's reputation. We used the reputation index developed by Burson-Marsteller, which is an American public relations and communication agency, and the Reputation Institute, the world's leading reputation management consultancy. The two companies provide an annual reputation score for French companies included in the CAC 40 index. This score, the so-called RepTrack™ Pulse, is determined by an online survey of more than 2000 individuals, representative of the French population, aged between 18 and 64 and familiar with the company.

The results of the questionnaire are used to determine the reputation score through four emotional perceptions that structure the relationship of the company with the public: trust, respect, admiration, and proximity. Each participant is asked about his/her perceptions of the company through seven relational dimensions: products and services, innovation, labor, governance, citizenship, leadership, and performance. Ponzi, Fombrun, and Gardberg (2011) provide more details of the development and validation of the RepTrack™ Pulse measure. The index is widely used in academic research to measure reputation. Recently, the RepTrack™ dimensions were used as a framework for the RepLab project, an EU-funded evaluation campaign for online reputation management systems (Amigo et al. 2014).

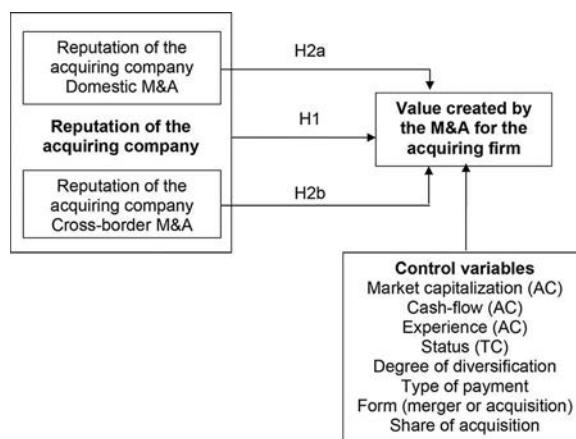
We also introduced several variables to control for (1) the characteristics of acquiring companies (market capitalization, cash flow, experience); (2) the characteristics of target companies (status: listed or not); and (3) characteristics of operations (form of the deal, diversification, type of payment, share of acquisition). Variable measurements and sources are provided in Table 1. The research model is presented in Figure 1.

TABLE 1
Variable Measurements and Sources

<i>Variable</i>	<i>Measurement</i>	<i>Data source</i>
CAR	Cumulative Abnormal Returns, evaluated by a market model	Event study
Reputation	RepTrackTM index, developed by Burson-Marsteller and the Reputation Institute, based on an online survey of more than 2000 individuals	Burson-Marsteller and Reputation Institute
Market capitalization	Log of the acquirer's market value 11 days prior to the announcement date	DataStream database
Cash flow	Excess cash generated by the acquirer's operating activity divided by its total assets	DataStream database
Experience	Number of M&As conducted by the acquirer over the 10 years before the deal analyzed	SDC database
Degree of diversification	Dummy variable, equal to 1 if the acquirer's standard industrial classification (SIC) code (2 digits) is different from that of the target firm, 0 otherwise	SDC database
Status	Dummy variable, equal to 1 if the target is public, 0 otherwise	SDC database
Type of payment	Dummy variable, equal to 1 if the acquisition is paid for exclusively in cash, 0 otherwise	SDC database
Form	Dummy variable, equal to 1 if the deal is an acquisition, 0 otherwise	SDC database
Share of acquisition	Percentage share of capital purchased	SDC database and press review

RESULTS

Table 2 reports the descriptive statistics. The cumulated abnormal returns of the acquirer for the event window range from -0.087% to 0.183% with a mean of 0.006% for the whole sample, the value being statistically different from zero ($t = 2.49$). This suggests that M&As



Note: AC refers to the acquiring company, TC refers to the target company

FIGURE 1 Research model

TABLE 2
Descriptive Statistics

	<i>N</i>	<i>Min</i>	<i>Max</i>	<i>Mean</i>	<i>Std. Dev.</i>	<i>Variance</i>
CAR	187	−0.08	0.18	0.00	0.03	0.00
Reputation	187	48.28	79.34	64.41	6.05	36.64
Market capitalization	187	8.48	11.53	9.87	0.86	0.74
Cash flow	187	−0.00	0.26	0.07	0.03	0.00
Experience	187	0	68	30.20	21.04	442.92
Degree of diversification	187	0	1	0.93	0.25	0.06
Status	187	0	1	0.12	0.32	0.10
Type of payment	187	0	1	0.15	0.36	0.13
Form	187	0	1	0.78	0.41	0.16
Share of acquisition	187	0.26	100	78.30	31.29	979.11

create little value for acquiring firm shareholders during this period of time, which is consistent with previous studies of M&As (Andrade, Mitchell, and Stafford 2001). The Reputation index value, ranges from 48.28 for Total (an oil and gas company) in 2012 to 79.34 for Michelin (tire manufacturer) in 2011. Table 3 reports the correlations for the independent and dependent variables. An examination of the correlations among the variables shows that the explanatory variables are not highly correlated. Moreover, we computed variance inflation factors (VIF) to test for multicollinearity. The VIF values are between 1.08 and 4.15 for all models, which is well below the threshold at which multicollinearity is considered as a concern (O'Brien 2007).

Table 4 reports the results of the ordinary least squares (OLS) regressions for all models. We first present the estimation with the control variables (column 1). We then analyze the impact of reputation on M&A value-creation for the whole sample (column 2) and compare the reaction of financial markets according to the geographic location of targets, distinguishing between domestic and cross-border operations (columns 3 and 4). The models account for between 7.44% and 44.06% of the variance of acquirers' cumulated abnormal returns, which is in line with similar studies.

TABLE 3
Correlation Matrix

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
(1) CAR	1.00									
(2) Reputation	0.12*	1.00								
(3) Market capitalization	−0.12*	0.09	1.00							
(4) Cash flow	−0.00	−0.14**	0.46***	1.00						
(5) Experience	−0.06	−0.02	−0.27***	0.05	1.00					
(6) Status	0.11	0.12*	0.15**	0.03	−0.13*	1.00				
(7) Form	−0.04	−0.02	0.12*	0.00	−0.14**	−0.16**	1.00			
(8) Degree of diversification	−0.19***	0.01	0.04	−0.00	0.01	−0.21***	−0.04	1.00		
(9) Type of payment	0.08	−0.08	−0.08	0.03	−0.14**	0.37***	−0.02	−0.11	1.00	
(10) % acquisition	−0.03	0.23***	−0.23***	−0.17**	0.14**	−0.24***	−0.27***	0.12*	−0.04	1.00

* $p < 0.10$; ** $p < 0.05$; *** $p < 0.01$.

TABLE 4
The Impact of Reputation on M&A Value-Creation

<i>CAR [-1; +3] days</i>	<i>Full sample Controls only</i>	<i>Full sample</i>	<i>Domestic operations</i>	<i>Cross-border operations</i>
Variables	(1)	(2)	(3)	(4)
Constant	0.10***	0.05	0.12	0.06
Reputation		0.00**	0.00**	0.00*
Control variables				
Market capitalization	-0.00***	-0.00***	-0.01***	-0.00**
Cash-flow	0.08	0.11	0.05	0.13
Experience	0.00	0.00	0.00	0.00
Status	0.00	0.00	-0.02*	0.01
Form	-0.00	-0.00	0.01*	-0.01
Degree of diversification	-0.02**	-0.02**	-0.02	-0.02**
Type of payment	0.00	0.00	-0.00	-0.00
Share of acquisition	0.00	0.00	0.00*	0.00
N	187	187	40	147
R ² (%)	7.44	10.14	44.06	11.34
R ² adjusted (%)	3.28	5.57	27.28	5.51
F Fischer	1.79*	2.22**	2.63**	1.95**

CAR = cumulated abnormal returns; * $p < 0.10$; ** $p < 0.05$; *** $p < 0.01$.

The findings show that the reputation of the acquiring firm, estimated by an online survey of 2000 people, has a positive and strongly significant influence on the value-creation of mergers and acquisitions (column 2), thus corroborating hypothesis 1. This suggests that financial markets take into account corporate reputation when estimating value-creation following M&A announcements. More precisely, the returns following the announcement of an M&A are positively affected by the acquirer's reputation. With the proliferation of information about corporate strategy on the Internet, reputation, and particularly e-reputation, appears to have become essential for investors. It is interesting to note that, over the whole sample, two variables have a significant, but negative impact on M&A value-creation: market capitalization and degree of diversification. These results are in line with previous studies. Investors tend to foresee the operations of large firms, those with high market capitalization (Cai and Vijn 2007), and so these create less value than operations by smaller firms. As far as the degree of diversification is concerned, Moeller and Schlingemann (2005) show that M&As create less value when they follow a diversification strategy than when they follow a specialization strategy.

Our analysis of the impact of the acquiring firm's reputation on the value created by M&As in the home country and those in foreign markets reveals several interesting results (columns 3 and 4). Reputation seems to influence both domestic and cross-border operations, thus corroborating hypotheses 2a and 2b. Therefore, M&As create more value when the acquirer has a good reputation, regardless of whether the target firm is domestic or foreign, although the estimated coefficient for reputation is more significant when the target is located in the home-country. We carried out Chow's test to determine whether the estimated coefficients of reputation for domestic M&As differ significantly from those of cross-border M&As. The Chow statistic is not significant, which indicates that the estimated coefficients of reputation

do not differ significantly for the two subsamples. One can also note that financial analysts and/or investors consider different factors when evaluating the potential value-creation of M&As. For domestic operations, the market capitalization of the acquiring company, and the status of the acquired company influence M&A value-creation negatively.

In other words, on the one hand, returns are lower when the acquirer is a larger firm and when it acquires a public company. On the other hand, the form and the share of acquisition appear to influence the value-creation of domestic M&As positively. Returns are higher for acquisitions than for mergers and when a larger part of the target company is acquired. For cross-border operations, the degree of diversification and market capitalization both have a negative impact on the value created by M&As. This indicates that returns are lower when the acquirer is a large firm and when the acquirer's sector is different from that of the target firm.

DISCUSSION

The effects of reputation on M&A value-creation and differences in these effects according to the location of the target firm (domestic versus cross-border M&As) are important, yet so far they have rarely been studied. Our research contributes to fill this research gap by examining how the acquirer's reputation affects the value created by the M&A. Following the central role played by ICT, especially the Internet, reputation is increasingly intertwined with e-reputation. Investors analyze data available on the web to evaluate corporate strategies. Based on the RepTrack™ Pulse survey and, thus, online perceptions of reputation, our empirical study highlights the importance of online perceptions of reputation and of embedding e-reputation into the construct of reputation. Moreover, our research responds to the call for better understanding of the way intangible assets, including reputation, affect firm outcomes (Pfarrer, Pollock, and Rindova 2010). Indeed, according to the RBV, reputation is a valuable asset, rare and difficult to imitate or substitute (Barney 1991) and, as such, it provides a firm with sustainable competitive advantage. Our study supports this claim empirically in the case of M&As.

We find support for all of our hypotheses. Hypothesis 1 states that the acquirer's reputation influences M&A value-creation positively. Our results suggest that there is indeed a significant positive relationship between reputation and value-creation. This result is important, because it supports empirically the arguments put forward in previous research concerning the role of reputation in M&As (Hitt, Harrison, and Ireland 2001). This finding is new to the academic literature, because it focuses specifically on the acquirer's reputation and its impact on M&A outcomes. Indeed, although several studies have analyzed the relationship between reputation, financial performance, and social standing (Fombrun and Shanley 1990; Brown and Perry 1994; Roberts and Dowling 2002), these studies do not scrutinize M&As, in particular from the point of view of the acquiring firm.

Our findings are in line with most studies examining the effects of reputation on interfirm relationships in general (Dollinger, Golden, and Saxton 1997; Hitt, Harrison, and Ireland 2001; Beuve and Saussier 2012; Gu and Lu 2014; Stern, Dukerich, and Zajac 2014). They confirm the insight that reputation is the collective perception (Rindova et al. 2005), developed through traditional and online channels (Chun and Davies 2001; Castellano and Dutot 2013), of

a firm's ability to honor its implicit claims (Devine and Halpern 2001). Indeed, nowadays, financial markets react to information conveyed through different channels, among which online social media are increasingly important (Chun and Davies 2001; O'Leary 2011). These media allow people to communicate through the Internet, express their opinions, and make comments, and are an important source of information for investors, because they provide constantly updated, fast-spreading content (Luo, Zhang, and Duan 2013).

Hypothesis 2a posits that the acquirer's reputation influences the value-creation of domestic M&As positively. We find strong support for this hypothesis. This finding suggests that the attention of the public and the media may be particularly strong in cases of domestic M&As because abundant information is available about the target firm. This also suggests that firms with a good reputation are extremely careful about their domestic M&A deals, because these deals send important signals to various home-country stakeholder groups, upon which these groups are likely to develop their perceptions of the firm further. Consequently, firms that have a solid, positive reputation enter domestic M&A operations with great care, as they do not wish to risk losing their reputation through unsuccessful deals. These insights are in line with the work of Petkova et al. (2014) who argue that to preserve its reputation a firm must deliver consistent performance over time, using risk reduction strategies.

Hypothesis 2b, which states that acquirer's reputation has a positive influence on cross-border M&As, is also supported. Our findings suggest that reputation has a strong influence, affecting the value-creation of not only domestic but also cross-border M&As. We show that when the acquirer has a solid, positive reputation, this positively affects collective perceptions of cross-border M&A operations and consequently M&A value-creation. This result is in line with insights from the literature stating that a good reputation encourages stakeholders to trust the firm (Oliver 1988) to respect its implicit claims (Devine and Halpern 2001). As Kempner (2005) argues, an M&A can easily lead to a crisis, and corporate reputation is vital as a tool to mitigate the implications for firm operations and share price. Reputation, thus, seems to reduce the stakeholder uncertainty (Rao 1998; Benjamin and Podolny 1999) over this type of operation, including cross-border M&As.

CONCLUSION

While a growing number of scholars have examined the effects of reputation on interfirm relationships (Dollinger, Golden, and Saxton 1997; Beuve and Saussier 2012; Gu and Lu 2014; Stern, Dukerich, and Zajac 2014), such effects are under-researched in the case of M&As. Our research contributes to enhance understanding of the influence of reputation, measured by an online survey, on these complex operations. Based on an analysis of 187 M&As announced by French multinationals of the CAC 40 index, we measure the impact of reputation on M&As established by French companies between 2010 and 2012. Our findings indicate that reputation has a strong influence on M&A value-creation. They also show that the acquirer's reputation has a positive influence on all M&A deals, regardless of their geographic location.

Our research findings also contribute to the growing literature examining M&A value-creation (Capron and Pistre 2002; Moeller and Schlingemann 2005; Barger et al. 2014), by highlighting the impact of intangible assets, particularly reputation, on this process. A

specific contribution of our study is the fact that we actually use a direct measure for reputation, while previous research rarely measures reputation directly (Rindova et al. 2005). Indeed, Rindova et al. (2005) argue that, in the bulk of research on reputation, researchers infer the unobservable effects of reputation by examining relationships between observable attributes and performance (Rindova et al. 2005), with an underlying hypothesis that reputation is embedded in these relationships. Our study contributes to the literature because it includes reputation as a variable for all the acquirers in the M&A operations under investigation. Moreover, reputation has been estimated by an online survey that takes account of the various dimensions of corporate reputation. By studying the relationship between acquirer's reputation and M&A value-creation, we are able to assess the contribution that reputation makes to the payoffs an organization reaps following an M&A operation.

Our findings have significant managerial implications. They emphasize the necessity to consider reputation when analyzing investment strategies. Today, companies enjoy multiple opportunities in both home and foreign markets, but they need to take good advantage of them, paying careful consideration to the uncertain results of external growth strategies. Recent years have been marked by increasing involvement in M&As, and it seems essential to anticipate the high degree of risk associated with these operations, as perceived by financial markets.

Our study also has several limitations, originating mainly in the characteristics of our data. The time span of our sample is limited to three years (2010–2012) and the sample is limited to 187 M&A operations. It would be interesting to replicate our study with a larger sample, covering a longer period to eliminate possible effects of the 2009–2010 financial and economic crisis. Moreover, our sample is limited to M&As carried out by French MNCs included in the CAC 40 index. An international sample might yield different results and reduce the potential country bias of our study. Finally, our sample did not allow us to include other factors that are also likely to influence M&A value-creation, such as the size of target companies (King et al. 2004).

These limitations open new avenues for future research. A fine-grained analysis of M&A operations, according to the location of acquirers and target firms, would lead to better understanding of the ways reputation impacts M&A value-creation. Indeed, previous research has highlighted the importance of geographic location in the strategic decisions of MNCs (Colovic 2010; Colovic and Mayrhofer 2011). Moreover, a thorough examination of the role of traditional and online media in the announcement of M&A operations would significantly contribute to understanding of reputation and its influence on firm outcomes.

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